Momentum Screening and Broker Recommendations in Indian Equities

Abstract—

Index Terms—price momentum, technical analysis, analyst recommendations, Indian stock market, backtest validation

I. INTRODUCTION

The study asks: on report dates with adequate data, does a six-month trend and momentum screen produce a higher equal-weight 60-session return than the pooled broker Buy basket? The current data show a higher strategy return on more dates and a larger mean return. The result is not a clean test of predictive ability, however, because the strategy rules were selected after examining these dates. The central conclusion is therefore limited: the observed sample favors the strategy, but the available evidence does not establish that it will continue to beat broker recommendations.

II. RELATED WORK

II. RELATED WORK

Prior studies ask different questions: whether past returns predict future returns, whether technical rules can be implemented after costs, and whether public analyst recommendations have investment value. Their samples and outcomes are not directly interchangeable. The comparisons below identify how each line of research informs the present matched-date design.

A. Price Momentum

Jegadeesh and Titman [1]. Their winner-minus-loser portfolios document return continuation over three-to-twelve-month holding periods. This project uses a related 126-session lookback and 60-session horizon, but takes long positions only and applies trend and indicator filters.

Sehgal, Pandey, and Sen [2]. Their Indian study compares six relative-, absolute-, and combined-strength approaches on NSE shares and reports that combined strength outperforms conventional price momentum in its sample. It provides a local momentum benchmark, but does not test the project's same-date broker-basket comparison.

B. Technical Rules in India

Mitra [3]. The paper tests moving-average rules on four Indian stock indexes and notes that spreads and trading costs can reduce exploitable returns. The present study screens individual stocks and applies a uniform 0.2-percentage-point round-trip deduction, which may understate variation in actual execution costs.

C. Analyst Recommendations

Arun, Shankaran, and Jayadev [4]. Their study of more than 1,000 Indian recommendations reports a Buy-side bias and hit ratios below 50%. Chatterjee, Kumar, and Chatterjee [5] use event-study and survival-analysis methods to examine target-price fulfilment. The latter distinguishes target achievement from time-to-payoff; this project measures return at a fixed 60-session horizon.

D. Backtest Selection

Sullivan, Timmermann, and White [6]; Bailey et al. [7]. These papers address data snooping and backtest overfitting. Their methods are relevant because the current filter was selected after examining the same dates on which it is reported; a separate test period is needed to evaluate persistence.

B. Technical Rules in India

III. DATA AND METHODS

A. Data and Sources

Arun, Shankaran, and Jayadev [4]. Their study of more than 1,000 Indian recommendations reports a Buy-side bias and hit ratios below 50%. Chatterjee, Kumar, and Chatterjee [5] use event-study and survival-analysis methods to examine target-price fulfilment. The latter distinguishes target achievement from time-to-payoff; this project measures return at a fixed 60-session horizon. Broker records were collected from the project report archive [8], and adjusted daily price histories were obtained from Yahoo Finance [9].

B. Strategy and Portfolios

Sullivan, Timmermann, and White [6]; Bailey et al. [7]. These papers address data snooping and backtest overfitting. Their methods are relevant because the current filter was selected after examining the same dates on which it is reported; a separate test period is needed to evaluate persistence.

Together, the literature motivates both the momentum hypothesis and a cautious interpretation. Momentum and technical rules have empirical support in some settings, but their returns depend on market, sample, and costs. Indian recommendation studies also show that analyst calls should be assessed with a defined event window and benchmark. The present project's narrower contribution is to place the two approaches into matched-date baskets under a common 60-session return convention; it does not reproduce the larger cross-sectional designs in the cited papers.

IV. PRELIMINARY RESULTS

A. Data and Sources

TABLE I
SUMMARY OF MATCHED-DATE RETURNS

Metric	Strategy	Broker
Wins	49 / 77 (63.6%)	28 / 77 (36.4%)
Mean 60-session return	18.5%	1.3%
Mean return gap	+17.2 pp	Reference
Holding period	60 sessions	60 sessions

B. Strategy and Portfolios

V. DISCUSSION AND LIMITATIONS

For this comparison, Buy, Strong Buy, Accumulate, Add, and Outperform labels are treated as positive recommendations. When multiple broker feeds recommend

the same stock on the same date, the project combines them into one stock position and records the relevant broker names. The matching sample is conditional on data availability and a fully populated strategy basket; dates that cannot be filled are not represented in the 77-date result.

IV. PRELIMINARY RESULTS

VI. OUT-OF-SAMPLE VALIDATION

TABLE I
SUMMARY OF MATCHED-DATE RETURNS

The result is striking but concentrated. The dashboard identifies Sterlite Technologies (STLTECH) as the most frequently selected strategy stock, appearing in 16 of the 77 date baskets. Multiple dates can therefore reflect the same underlying stock move rather than 16 independent successes. The 60-session windows also overlap, so adjacent report dates share much of their forward price path.

V. DISCUSSION AND LIMITATIONS

VII. CONCLUSION

Several additional limitations matter. First, overlapping holding windows and repeated stocks make the date-level observations dependent. Second, the price universe may have survivorship or coverage bias, and the broker archive is partial. Third, requiring enough qualifying names to match each broker basket changes which dates enter the analysis; the excluded-date count and reasons should be reported. Fourth, the fixed 0.2 percentage-point cost may not capture differences in taxes, spreads, slippage, liquidity, or turnover. Fifth, a one-year report-date sample does not span enough market regimes to support broad claims. Finally, the current comparison does not report risk-adjusted alpha, drawdown, volatility, or statistical uncertainty.

REFERENCES

[1] N. Jegadeesh and S. Titman, “Returns to buying winners and selling losers: Implications for stock market efficiency,” The Journal of Finance, vol. 48, no. 1, pp. 65–91, 1993, doi: 10.1111/j.1540-6261.1993.tb04702.x.

[2] S. Sehgal, A. Pandey, and S. Sen, “Relative, absolute or combined strength momentum strategies: What works for India?,” International Journal of Emerging Markets, vol. 20, no. 10, pp. 4288–4307, 2025, doi: 10.1108/IJOEM-09-2023-1518.

[3] S. K. Mitra, “How rewarding is technical analysis in the Indian stock market?,” Quantitative Finance, vol. 11, no. 2, pp. 287–297, 2011, doi: 10.1080/14697680903493581.

[4] S. Arun, B. Shankaran, and M. Jayadev, “Investment value of analyst recommendations: Evidence from the Indian stock market,” South Asian Journal of Management, vol. 23, no. 2, pp. 7–24, 2016.

[5] D. Chatterjee, S. Kumar, and P. Chatterjee, “Time to payoff: Efficacy of analyst recommendations in the Indian stock market,” IIMB Management Review, vol. 32, no. 2, pp. 153–165, 2020, doi: 10.1016/j.iimb.2019.10.002.

[6] R. Sullivan, A. Timmermann, and H. White, “Data-snooping, technical trading rule performance, and the bootstrap,” The Journal of Finance, vol. 54, no. 5, pp. 1647–1691, 1999, doi: 10.1111/0022-1082.00163.

[7] D. H. Bailey, J. M. Borwein, M. López de Prado, and Q. J. Zhu, “The probability of backtest overfitting,” Journal of Computational Finance, vol. 20, no. 4, pp. 39–69, 2017, doi: 10.21314/JCF.2016.322.

[8] Trendlyne, “Research reports archive.” [Online]. Available: https://trendlyne.com/research-reports/. Accessed: Oct. 19, 2026.

[9] Yahoo Finance, “Historical market data.” [Online]. Available: https://finance.yahoo.com/. Accessed: Oct. 19, 2026.